

CHAPTER 1

Introduction: Multinational Corporations and Financial Management

EASY (definitional)

1.1 Which of the following is true regarding the strategic alliance?

- a) the partner firms can make cross-shareholding investments in each other
- b) allows partner firms the flexibility to retain their own organizational structure and corporate culture
- c) allows an easier way to exit
- d) all of the above

Ans: d

Section: Overseas Production

Level: Easy

1.2 The primary objective of the multinational corporation is to

- a.) maximize shareholder wealth
- b) maximize world production
- c) minimize debt
- d) minimize the cost of doing business globally

Ans: a

Section: Multinational Financial Management: Theory and Practice

Level: Easy

1.3 Traditionally, _____ has been defined as the purchase of assets or commodities on one market for immediate resale on another in order to profit from a price discrepancy.

- a) internationalization
- b) arbitrage
- c) financing
- d) total risk

Ans: b

Section: Relationship to Domestic Financial Management

Level: Easy

1.4 The value of good financial management is _____ in the global markets because of the much greater probability of market imperfections and multiple tax rates.

- a) minimized
- b) neutralized
- c) enhanced
- d) arbitrated away

Ans: c

Section: The role of the financial executive in an efficient market

Level: Easy

1.5 When a firm operates globally it offers advantages such as

- a) greater political power at home
- b) less taxes on its profits
- c) greater negotiating power with foreign minority groups
- d) greater negotiating power with labor unions

Ans: d

Section: The rise of the Multinational corporation

Level: Easy

1.6 The prime transmitter of global competitive forces is the

- a) public utility firm
- b) financial management experience of the U.S. markets
- c) the multinational corporation
- d) the Federal Reserve System of the U.S.

Ans: c

Section: The rise of the multinational

Level: Easy

1.7 _____ were the earliest multinationals.

- a) raw-material seekers
- b) market seekers
- c) cost minimizers
- d) oil companies

Ans: a

Section: Evolution of the multinational corporation

Level: Easy

1.8 The _____ are the archetype of the modern multinational firm that goes overseas to produce and sell in foreign markets.

- a) cost minimizers
- b) market seekers
- c) raw-material seekers
- d) whaling companies

Ans: b

Section: Evolution of the multinational corporation

Level: Easy

1.9 _____ are a recent category of multinationals that seek out and invest in lower cost production sites overseas.

- a) Cost minimizers
- b) Market seekers
- c) Raw-material seekers
- d) High tech firms

Ans: a

Section: Cost minimizers

Level: Easy

1.10 Which one of the following is a consequence of increased global competition?

- a) the creation of new steel plants in the old industrial countries
- b) the end of free-trade agreements between governments of the world
- c) increased comfort level of trade unions with the consequences
- d) increased anxiety among workers in the old industrial countries

Ans: d

Section: Consequences of Global Competition

Level: Easy

1.11 International _____ can reduce the volatility of an investment portfolio because national financial markets tend to move independently of each other.

- a) arbitrage
- b) centralization of the MNC's cash
- c) diversification
- d) investment

Ans: c

Section: The Importance of Total Risk

Level: Easy

1.12 Which one of the following has been a major driver of globalization?

- a) massive deregulation
- b) the collapse of the communist bloc
- c) revolution in information technologies
- d) all of the above

Ans: d

Section: The rise of the multinational corporation

Level: Easy

1.13 Companies gradually increase their commitment to international business with strategies that are progressively more sophisticated. Which one of the following steps is NOT one of the steps?

- a) exporting
- b) setting up a sales subsidiary
- c) setting up a distribution system

d) creating a legal entity in the new target country

Ans: D

Section: The Process of Overseas Expansion by Multinationals

Level: Easy

1.14 Which one of the following is an alternate and/or a precursor to setting up a production facility abroad?

- a) exporting
- b) setting up a sales subsidiary
- c) setting up a distribution system
- d) licensing

Ans: D

Section: The Process of Overseas Expansion by Multinationals

Level: Easy

1.15 In which category of multinational is McDonald's most likely to fall?

- a) raw materials seeker
- b) market seeker
- c) cost minimizer
- d) hedge fund

Ans: b

Section: Evolution of the multinational corporation

Level: Medium

1.16 Opponents of free trade and globalization claim that competition by low and medium income countries for jobs and investment by multinational corporations_____.

- a) promotes higher environmental standards for a country is to raise its wealth
- b) helps developing countries to afford the cleaner environment their wealthier citizens will now demand
- c) unleashes the forces of creative destruction
- d) encourages a "race to the bottom" in environmental and labor standards

Ans: d

Section: Political and labor union concerns about global competition

Level: Medium

1.17 The purchase of assets or commodities on one market for immediate resale on another in order to profit from a price discrepancy is known as_____.

- a) currency exchange
- b) bargaining power
- c) capital asset pricing
- d) arbitrage

Ans: d

Section: Relationship to domestic financial management

Level: Medium

1.18 Given the added risks associated with doing business abroad, companies should

- a) limit their foreign sales to less than 40% of total sales
- b) limit their foreign assets to less than 30% of total assets
- c) avoid foreign markets altogether unless they can earn a return in excess of the return they earn in their domestic market
- d) not limit their foreign sales at all

Ans: d

Section: The internationalization of business and finance

Level: Medium

1.19 Which of the following is an example of reverse foreign investment?

- a) Honda builds a factory in Ohio
- b) Apple builds a plant in Ireland that exports to the United States
- c) British Telecom issues new stock in the United States
- d) American investors buy shares in Sony

Ans: a

Section: Market seeking

Level: Medium

1.20 Which of the following is NOT a failing of the theory of comparative advantage?

- a) it ignores the role of uncertainty and economies of scale
- b) it assumes that factors of production are immobile
- c) it assumes that there are no differentiated products
- d) it assumes a scarcity of resources

Ans: d

Section: rise of the multinational

Level: Medium

1.21 Although a firm may be interested in expanding overseas, it may not have the option to acquire a local operation. This type of challenge is most common in

- a) the European Union
- b) the United States
- c) Japan
- d) developing countries

Ans: d

Section: The Process of Overseas Expansion by Multinationals

Level: Medium

1.22 What would be the preferred mode of market penetration for the firm seeking to expand globally when the company wants to market its patent?

- a) Licensing
- b) Exporting
- c) Setting up local facilities
- d) Setting up a foreign sales office

Ans: b

Section: The Process of Overseas Expansion by Multinationals

Level: Medium

1.23 Which of the following is generally a licensing rather than an exporting opportunity for a multinational looking to expand globally?

- a) The firm has a product that can be shipped without adaptation.
- b) The firm is seeking to market a specific product or process technology that can be written down and transmitted objectively.
- c) The firm has a product such as a new device that is technologically advanced.
- d) A firm that has a specialized cost-saving equipment.

Ans: B

Section: The Process of Overseas Expansion by Multinationals

Level: Medium

1.24 Which of the following theories identifies specialization as the main reason for international business activity?

- a) product life cycle theory of international trade
- b) theory of diversification
- c) doctrine of comparative advantage
- d) theory of globalization

Ans: c

Section: Rise of the Multinational

Level: Difficult

1.25 Which of the following is true regarding the advantages of exporting?

- a) a greater commitment to the local market
- b) ability to realize the full sales potential of a product
- c) capital requirements and start-up costs are high
- d) low risk

Ans: d

Section: The Process of Overseas Expansion by Multinationals

Level: Difficult

1.26 Multinational firms

- a) are riskier than purely domestic firms because of the exposures of operating abroad

- b) are less risky than purely domestic firms because of international diversification
- c) may be less risky than domestic firms if the added risks of operating overseas are more than offset by the ability to operate in nations whose economic cycles are not perfectly in phase
- d) invest in developed countries only and avoid developing economies

Ans: c

Section: The importance of total risk

Level: Difficult

1.27 According to the capital asset pricing model

- a) only the systematic component of risk affects the required return
- b) foreign investments whose returns are uncorrelated with the market's return should have a higher required return than comparable domestic investments
- c) total risk of the investment is most relevant for small to medium-sized firms
- d) diversification is secondary to risk levels of the investment

Ans: a

Section: Capital asset pricing

Level: Difficult

1.28 The internationalization process tends to

- a) proceed in a preprogrammed series of steps
- b) begin by licensing foreign producers
- c) inevitably involve foreign production
- d) often begin by accident

Ans: d

Section: Capital asset pricing

Level: Difficult

1.29 According to the efficient market hypothesis, which one of the following is NOT correct?

- a) markets place a premium on the future
- b) today's stock price is the best predictor of tomorrow's stock price
- c) stock prices reflect all available information
- d) today's stock price incorporates the past history of prices

Ans: a

Section: Market efficiency

Level: Difficult

1.30 Which one of the following provides strong evidence that internationalization continues to grow in the world economy?

- a) import restrictions by the Bush Administration on foreign steel

- b) efforts suggested by politicians to restrict the sourcing of foreign products by locally headquartered multinationals
- c) the growing volume of foreign direct investment by U.S. as well as other multinational companies
- d) pressure on governments to embargo unfriendly nations

Ans: c

Section: Evolution of the Multinational Corporation

Level: Difficult

1.31 For the multinational corporation, which one of the following complements to the integration of worldwide operations is MOST critical?

- a) flexibility
- b) adaptability
- c) speed
- d) economies of scale of distribution

Ans: c

Section: A Behavioral Definition of the Multinational Corporation

Level: Difficult

1.32 Referring to the text, if you were the CEO of a multinational corporation, which of the following would be MOST important to you in hiring a manager? One that

- a) Avoids risk at any price
- b) Manages effectively the political environment of the subsidiary country
- c) Anticipates every future disturbance related to the supply chain
- d) Makes decisions that anticipates problems and provides solutions that enhances the firm's prospects for growth

Ans: d

Section: The Global Manager

Level: Difficult

1.33 Reverse foreign investment into the United States primarily started with _____ multinationals?

- a) West European
- b) East European
- c) Japanese
- d) Chinese

Ans: d

Section: Market seeking

Level: Difficult

1.34 Privatization refers to _____

- a) A corporation deciding to delist its shares on a stock exchange.
- b) A government that decides to purchase privately owned enterprises

- c) A government that decides to allow private enterprises to exist
- d) A government that decides to sell state owned enterprises to private investors.

Ans. d

Section The rise of the multinational corporation

Level: Difficult

1.35 Total risk can be attributed to how many sources?

- a) 0
- b) 1
- c) 2
- d) 3

Ans. c

Section The Importance of Total Risk

Level: Difficult

1.36 Which of the following factors has NOT recently contributed to radically changing the global competitive environment?

- a) Increased nationalizations of private enterprises
- b) Massive deregulation
- c) The collapse of the Soviet Union
- d) Advances in information technology

Ans. a

Section The Rise of the Multinational Corporation

Level: Difficult

1.37 The world's dominant currency is the _____

- a) Euro
- b) U.S. dollar
- c) British pound
- d) Swiss Franc

Ans. b

Section: Introduction

Level: Easy.

1.38 The BRICS refer to which group of countries:

- a) Belgium, the Republic of Ireland, Croatia and Serbia
- b) Botswana, Rwanda, Ivory Coast, and Sudan
- c) Brazil, Russia, India, China, and South Africa
- d) Big and Rich Industrial Countries of Southern Europe.

Ans. c

Section: Evolution of the Multinational Corporation

Level: Easy

1.39 The theory of comparative advantage implies that:

- a) one country's gain comes at the expense of another country.
- b) international trade will enhance the standard of living of both countries.
- c) if a country doesn't have an absolute advantage in at least one good there is no benefit to trade
- d) that the country with cheaper labor will reap all the benefits from trade.

Ans. b

Section: The rise of the multinational corporation

Level: Easy

1.40 The theory of comparative advantage ignores which of the following:

- a) Uncertainty
- b) Economies of scale
- c) Transportation costs
- d) All of the above

Ans. d

Section: The rise of the multinational corporation

Level: Difficult